Economic Regime Analysis

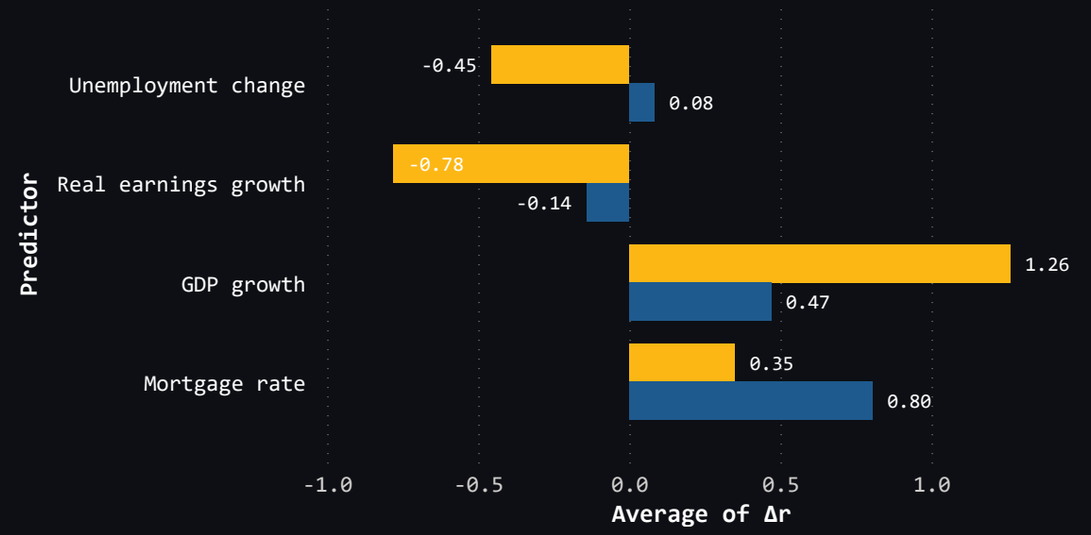
Comparing macroeconomic relationships with consumer insolvency growth across 2010–2019, 2020–2021, and 2022–2026.

Relationship with Consumer Insolvency Growth - Pearson R

Predictor	2010-2019	2020-2021	2022-2026
GDP growth	-0.412	0.849	0.057
Mortgage rate	-0.316	0.033	0.488
Real earnings growth	-0.135	-0.915	-0.275
Unemployment change	0.208	-0.246	0.291

Positive relationship Negative relationship

Change in Correlation Relative to 2010–2019 (Baseline)



Paired Monthly Observations (n)

Predictor	2010-2019	2020-2021	2022-2026
GDP growth	120	24	56
Mortgage rate	120	24	56
Real earnings growth	120	24	55
Unemployment change	120	24	56

NOTE:
The 2020–2021 correlations are unequally well-supported since that period contains only 24 months, whereas the pre-pandemic period covers 120.

KEY FINDINGS — PAGE 2

GDP relationship reversal

GDP growth changed from a negative correlation before the pandemic (−0.412) to a strong positive correlation during 2020–2021 (+0.849), before weakening to +0.057 afterward.

Real earnings retain a negative relationship

Real earnings growth remained negatively correlated with insolvency growth across all three periods, although the magnitude varied substantially.

Unemployment relationship changes

The unemployment-change correlation shifted from +0.208 before the pandemic to −0.246 during it, returning to +0.291 afterward.